

EQUITY RESEARCH · COMPANY DEEP DIVE

Cisco Systems, Inc. (CSCO.US)

Technology · Communication Equipment

Large Cap (>\$200B) · Report Date: September 28, 2026

Latest financials: Q3 FY2026 · Model data as of 2026-09-28

BUY

Composite · Valuation: BUY

Target \$166.18 · +55.7% upside

Price \$106.74

INVESTMENT HIGHLIGHTS

- **BUY** — blended target \$166.18 (+55.7% vs \$106.74); Comps 80% + Analyst 20% valuation after outlier checks.
- Strong revenue growth; high operating margins; strong roe; positive fcf generation
- FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

MULTI-PILLAR INVESTMENT SIGNAL

Pillar	Rating / Signal	Key Metric	Wt
Valuation	BUY	Blended PT \$166.18	45%
FSA	Stable	Health +0.10 · Stable	20%
Technical	BULLISH	Bullish	20%
Quantitative	POSITIVE	Score +0.50 · 12m +62%	15%
Composite	BUY	Score +0.61 · 75% confluence	—

Valuation + technical aligned bullish.

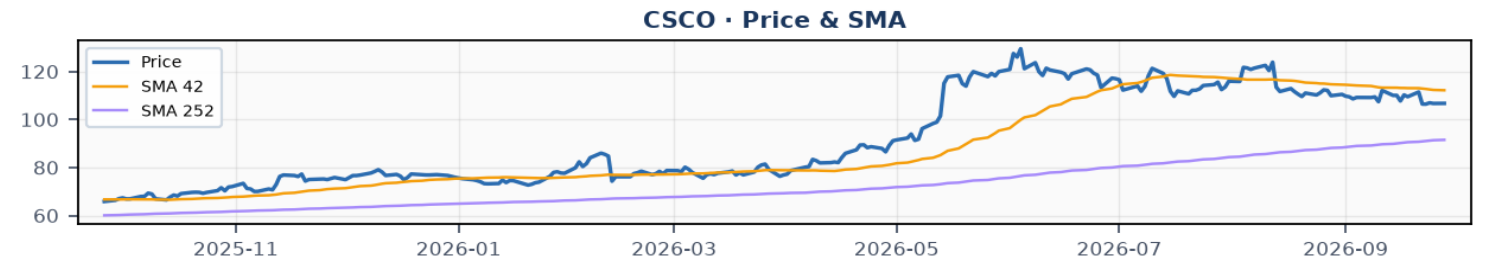
INVESTMENT THESIS / EXECUTIVE SUMMARY

Cisco Systems, Inc. (CSCO) — Technology. Cisco Systems, Inc. designs, develops, and sells technologies to power, help, secure, and draw insights from the internet in the Americas, Europe, the... **BUY** rating; blended target \$166.18. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$420.83B	Shares Out.	3942.6M
52-Week Range	\$66.81 – \$130.37	P/E (TTM)	32.1x
P/B	8.4x	Beta	0.99
Avg Volume	20.41M	Analyst Rec.	Buy
Revenue (TTM)	\$63.32B	Rev Growth	+17.6%
Op. Margin	27.7%	FCF (TTM)	\$12.77B
Gross Margin	64.5%	ROE	27.3%
EV/EBITDA	23.4x	Debt/Equity	62.0%
EPS (TTM)	\$3.33	Div Yield	1.6%

PRICE TREND · SMA 42 / 252



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FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2025A	FY 2026A	FY 2027E	FY 2028E	FY 2029E
Revenue (\$M)	56,654	63,325	74,470	84,203	92,539
Revenue Growth (%)	N/A	11.8%	17.6%	13.1%	9.9%
Net Income (\$M)	10,180	13,267	15,602	17,641	19,387
Gross Margin (%)	64.9%	64.5%	64.5%	64.5%	64.5%
Net Margin (%)	18.0%	21.0%	21.0%	21.0%	21.0%
EPS (\$)	2.58	3.37	3.96	4.47	4.92
P/E (x)	41.34	31.72	26.97	23.86	21.71

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	\$112.20	Short-term trend	12m Momentum	+62.1%	
SMA (252d)	\$91.53	Long-term trend	3m Momentum	-8.8%	
RSI (14d)	44.6	Momentum oscillator	Ann. Volatility	25.9%	
Trend	Bullish		Sharpe Ratio	0.51	Rf=4%
Golden Cross (20d)	No		Max Drawdown	-36.7%	
Death Cross (20d)	No		Rel. Strength vs SPY	+32.8%	
TA Signal	BULLISH	Price above SMA42; SMA42 > SMA252; SMA42=\$112.20, SMA252=\$91.53	Quant Score	+0.50	POSITIVE
			SMA Backtest (ann.)	21.7%	B&H; 30.5%

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in	Notes
DCF (FCFE)	\$79.30	-25.7%	0% (excluded)	Diverges below other methods (51% of median)
Comps — Blended	\$173.42	+62.5%	80%	Included in blend
Analyst consensus	\$137.25	+28.6%	20%	Included in blend
Blended target	\$166.18	+55.7%	100%	Comps 80% + Analyst 20%

DCF (FCFE) SUMMARY

Ke	Terminal g	FCFE growth	Equity value	Implied price	vs. Current
9.46%	4.00%	8.80%	\$312.66B	\$79.30	-25.7%

PEER COMPARISON · INDUSTRY CONTEXT

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
ANET	Arista Networks, Inc.	\$258.45B	65.1x	53.3x	38.4%	+37.7%
MSI	Motorola Solutions, In	\$74.82B	35.6x	22.5x	17.4%	+13.3%
JNPR	JNPR	N/A	N/A	N/A	N/A	N/A
CIEN	Ciena Corporation	\$48.81B	77.2x	50.0x	10.9%	+37.0%
CSCO*	Cisco Systems, Inc.	\$420.83B	32.1x	23.4x	21.0%	+17.6%

* Subject company. Trades at a discount on p/e vs peers; stronger profitability than peers. Trends: Strong top-line growth (17.6% YoY); High operating leverage (27.7% margin); Sector: Technology | Industry: Communication Equipment · Risks: Standard sector cyclicality and macro exposure Strong revenue growth; high operating margins; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.